PROCUREMENT OPERATIONS · TPRM CASE STUDY

Strategic Spend Analysis

AlVirtu Bank — FY2023 to FY2025

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Simulated educational case study. Figures are modelled, not live bank spend.

1. Executive summary

Spend analysis is the first expert step because an RFP written without a ledger guesses at the category. This book shows replacement is not a technology preference. It is the lever that resets a 22% maintenance rate, a parallel sandbox, and single-vendor concentration together.

Metric	Result
Three-year ledger	**USD 72.11 million**
Average annual spend	USD 24.04 million
Largest category	Core Systems — 63.4%
Largest supplier	Vendor A — 63.4%
Top two suppliers	Vendor A + Vendor B — 81.1%
Capex share	84.3%
FY2025 maintenance on incumbent licence	**22.3%**

Source: 01_Spend_Data_Model.xlsx (formula-driven totals).

2. Where the money went

Annual totals: FY2023 USD 22.55 million · FY2024 USD 24.09 million · FY2025 USD 25.47 million. The book grew about six percent a year with no corresponding drop in unit cost. Core Systems plus the consulting that exists only because the core is ageing is 81% of the ledger. That is the category the new CBS must justify.

Category	FY23	FY24	FY25	Total	Share
Core Systems	14.60	15.25	15.90	45.75	63.4%
Consulting	4.00	4.20	4.50	12.70	17.6%
Infrastructure	1.50	1.80	1.90	5.20	7.2%
National Integration	0.80	0.95	1.00	2.75	3.8%
Cybersecurity	0.50	0.60	0.70	1.80	2.5%
Cloud	0.45	0.48	0.55	1.48	2.1%
Training / Support	0.30	0.35	0.40	1.05	1.5%
Auxiliary Software	0.25	0.28	0.32	0.85	1.2%
Legal	0.15	0.18	0.20	0.53	0.7%
Total	**22.55**	**24.09**	**25.47**	**72.11**	**100%**

USD million. Capex USD 60.80 million (84.3%) / Opex USD 11.31 million (15.7%).

3. Vendor concentration

Two of nine suppliers hold 81% of value. Negotiation capacity should sit on Vendor A and Vendor B. The tail can use a lighter process. This is high concentration risk, not a diversified panel.

Vendor	3-yr spend	Share	Cumulative	Band
Vendor A	45.75	63.4%	63.4%	Vital few
Vendor B	12.70	17.6%	81.1%	Vital few
Local vendor	5.20	7.2%	88.3%	Long tail
Vendor C	2.75	3.8%	92.1%	Long tail
Vendor E	1.80	2.5%	94.6%	Long tail
Vendor F	1.48	2.1%	96.6%	Long tail
Vendor D	1.05	1.5%	98.1%	Long tail
Vendor G	0.85	1.2%	99.3%	Long tail
Vendor H	0.53	0.7%	100%	Long tail

USD million. Source: sheet 03_Vendor_Pareto.

4. Benchmark — not only a lower price

A five-point cut on a USD 13.0 million licence is about USD 0.59 million a year. That is material. It is not USD 3.2 million against the whole book. The larger prize is stopping parallel opex (sandbox, forced upgrades, unbundled modules) that the TCO model prices at award.

Test	Finding
Maintenance rate	FY2025 maintenance is 22.3% of that year’s core licence. Case-study CBS support sits at 17–18%.
Cloud / sandbox	USD 1.48 million over three years for environments a replacement contract can include at zero extra fee.
Consulting	USD 12.70 million to keep an ageing core current — cost of delay, not transformation benefit.
National rails	SADAD / SARIE / SWIFT / IPS rise under mandate. They are not optional savings lines.

5. Decision for the CBS business case

1. The category that must carry the investment case is Core Systems, not “IT” in general.

2. Vendor A is both the spend peak and the operational lock-in. Awarding a new platform without exit and residency clauses repeats the same concentration.

3. Price-only RFPs miss the 22% maintenance ratchet and the sandbox line. Those belong in the TCO model before vendors are invited.

4. Savings that survive signature are rate, scope, and inclusion — not a lower first-year licence.

Supporting workbook: 01_Spend_Data_Model.xlsx. Next paper: 03_Spend_Optimization_Strategy.md.